Rentsway

Business Plan 2019

Confidential and Proprietary

Table of Contents

Company Analysis

Rentsway Overview

Rentsway (also referred to as "the Company") is a revolutionary property management solution that reinvents how landlords connect with tenants by making it easier to manage rental payments, maintenance requests, lease information and general communication in the most intuitive way possible. Rentsway saves landlords time by completely bringing their administrative tasks online, enabling them to manage tenants from farther away, get paid conveniently and organize information in a single platform.

With Rentsway, landlords can easily log in with their phone or desktop *anywhere* and manage their properties on-the-go, effortlessly.

Potent Features

Rentsway achieves this through numerous helpful features such as the ability to monitor the number of tenants that have successfully paid their rent, send automatic email or text reminders for late payments, digitally upload leases, schedule apartment showings and more. Landlords can also manage ongoing maintenance through the platform. All of these features have been thoughtfully designed to provide landlords, and their tenants, the most convenient and easy-to-use property management solution on the market.

The platform also features an incredibly simple user-interface, allowing both landlords and tenants to make full use of Rentsway's benefits immediately. Through these unique components, Rentsway solves the present pains that exist between landlords and tenants by providing relief to landlords that are tired of labor-intensive work and tenants who prefer a more seamless renting experience.

A Cost-Effective Solution

Rentsway offers a powerful and affordable property management platform for the 23.7 million landlords in the United States. From individual landlord investors to medium-sized real estate companies, Rentsway offers all the same capabilities and functions expected from larger competitors without the hefty price tags. All core features are available for a low monthly fee with the option to pay for various ala-carte services, such as tenant screening or monthly subscription fees to list properties on the platform.

Rentsway
Founded
2018
Headquarters
New York City
Management
Brian Boisjoli
Offerings
Property Management Platform
Key Industry
Apartment Rental Industry
Market
USA
Capital Requirements
$100,000

More importantly, Rentsway will earn most of its revenues through small fees on payments transacted in the platform, allowing it to sustain business operations into the future. By becoming a leader among small to medium-sized landlords, Rentsway is confident it can scale into bigger opportunities by working with large enterprise accounts. Starting within New York and Vermont, the Company seeks to completely transform the $176.8 billion Apartment Rental industry through its highly innovative property management solution.

Meet the Founder

Rentsway is the brainchild of Brian Boisjoli, currently a Product Manager at Health-E Commerce in New York City. Brian has over two years of experience working at Health-E Commerce, which is one of the top consumer health and wellness retailers in the United States. Furthermore, Brian is extremely familiar with Agile methodology, front-end development, A/B testing, prioritization, and much more. Brian has spearheaded the majority of Rentsway's development as a business and understands the technical requirements to deliver a game-changing property management solution unlike anything the market has seen.

How It Works

Landlords and tenants will be able to access the Company's property management platform through its mobile-optimized website allowing for access from any device. The platform's main features (which provide the most value to landlords and tenants) are shown below.

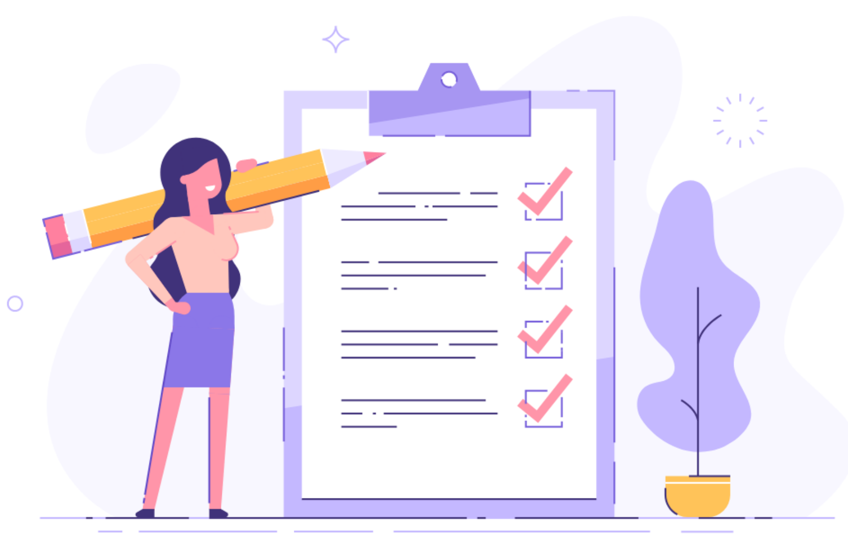
Landlord Portal

1. Landlords must sign a contract with Rentsway to have their account created by a website admin. Once this is complete, landlords will sign in using their **preferred email and password**.
2. **Managing Properties**: Landlords add, name and populate their properties with units. This can be automated by the Rentsway admin if requested, removing manual unit/tenant entry by the landlord. There is no limit to the number of properties a landlord can add.
3. **Accessing Tenant Information**: Rentsway will allow landlords to access tenant information based on name or unit search within a property. This search will yield information such as the lease, payment history, maintenance requests, and results from background and/or credit checks if they were made.
4. **Accessing Maintenance Requests**: With this feature, landlords can keep track of maintenance requests sent from tenants via Rentsway. They can then manage open requests and update tenants with the status of repairs as they work on resolving.
5. **Managing Payments:** Rentsway will offer landlords detailed information on payments. Reports such as the total number of tenants that paid for a selected period or the total income generated by month or year can be generated. Furthermore, the platform will also show the number of tenants that have made late payments or not paid at all. Within this section, landlords will connect their bank account(s) to accept payments and receive payouts at any desired time.
    a. Within the payments feature, landlords can send automatic emails or text reminders directly to tenants who haven't paid or are consistently failing to pay rent on time.
    b. Landlords will also be able to send one-off requests for standard apartment fees (AC installation, broker fee, etc.).

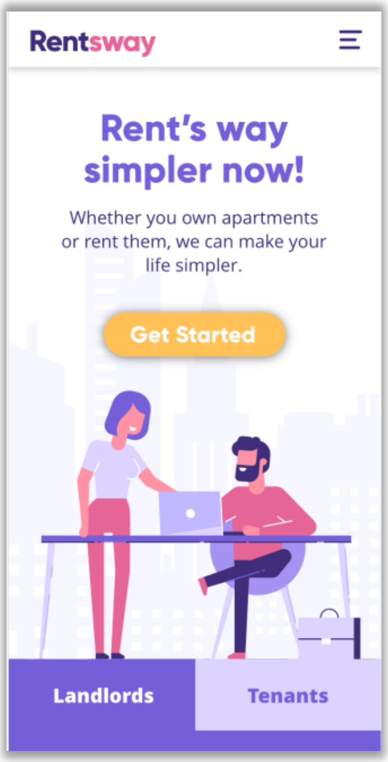
6. **Communication:** Landlords can field tenant messages or reach out directly to tenants through the text-like messaging board within the platform. This allows for direct communication and eliminates phone tag. This may also be used in an ad hoc manner to provide building updates, etc.

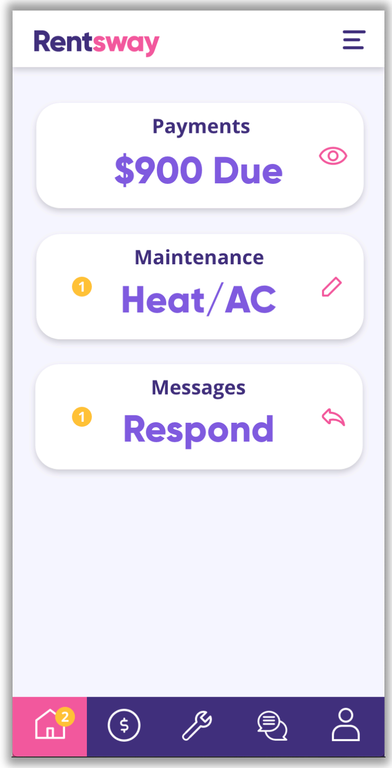
Tenant Portal

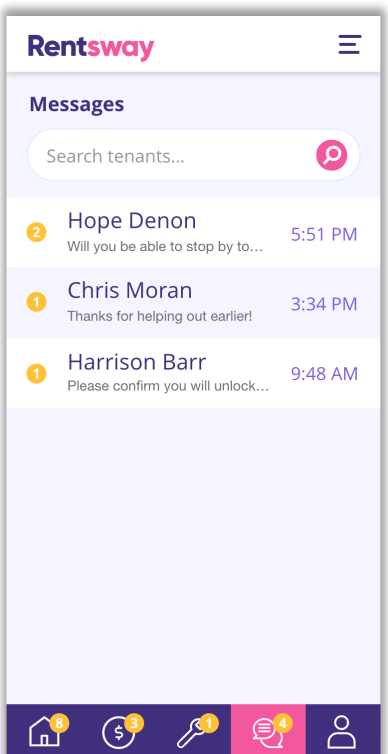
1. Tenants can create an account on Rentsway using their preferred email and password. Once an account has been developed, users complete their profile contact information and banking credentials. Tenants will link to their landlord via address and unit.
2. **View Lease:** Tenants will be able to review and sign their leases as well as access electronic copies for their own records.
3. **Make a Payment:** Tenants will be able to link their preferred debit card, credit card, or bank account to make a payment. Furthermore, tenants will be able to use this platform to setup recurring payments or one-time payments.
4. **Submit Maintenance Tickets:** This section of the property management platform will enable tenants to submit any maintenance requests. Users will be able to select from a list of the most common incidents requiring a landlord's attention, add the date of the incident, and provide further details to help landlords understand the situation better (including photos).
5. **Messaging Board:** Tenants will be able to use this message board to send messages directly to their landlords should the need arise. For example, a tenant lost their apartment key and needs a replacement.
6. **Profile Page:** Tenants will also be able to access their own profile page with information that summarizes their lease, address, and contact information. They will be able to edit their name, email, phone and emergency contact.

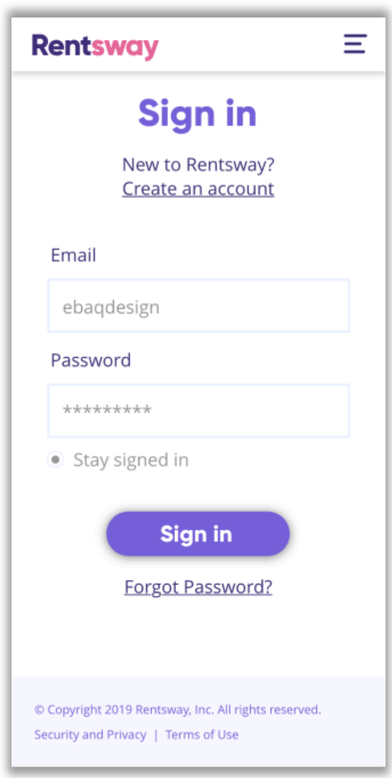


Screenshots of the Property Management Platform









Market Opportunity

The market is vast and growing for companies such as Rentsway. The Company aims to begin operations in Vermont and New York, the latter being one of the largest and most valuable markets for apartment rentals in the entire United States. There are several components to the Company's markets that make a compelling case for its future operations.

The Chance to Disrupt a $176.8 Billion Industry

Rentsway's market is defined by the amount of revenues generated by the US Apartment Rentals industry, which generated over $176.8 billion in revenues in 2019.

A declining number of first-time homebuyers, the preferences of those between the ages of 25-35 to rent apartments, and the appeal of urbanized cities highlights the perfect conditions for Rentsway's entry into the market. While the industry is expected to decline slightly in the coming years, this is expected to mainly affect luxury properties, while small-to-medium sized apartments are expected to grow.

Large Number of Rental Units

The number of rented housing units in both New York and Vermont provides a key indicator for demand of Rentsway's services.

In total, based on information gathered from the 2017 American Community Survey, there are over 3.31 million rented housing units spread across New York and Vermont, highlighting the large number of properties that Rentsway can offer its services for. When expanded to cover the entire country, this figure rises to 40.7 million rented housing units, which represents a total market size worth 12% of the entire US population.

Online Services Work

Study after study has shown that online services such as those offered by Rentsway provide real tangible benefits to landlords.

Propmodo's *2018 State of Landlords* report found that 72.4% of landlords who utilized online rental payment services received their rent on time compared to the average of 66.7%. Furthermore, the study also found that 54% of landlords found it easier to work with tenants through online service platforms compared to 42% that didn't. This also includes the fact that service providers such as Rentsway have proven to help 67% of landlords save time by not having to deal with smaller administrative tasks such as paperwork, checking directly with tenants if they have paid for their rent etc.

Value Proposition

Rentsway offers a multifold value proposition in addition to the aforementioned points.

Benefits for Landlords

- **Better Cashflow Management:** Rentsway's online service makes it much easier for tenants to pay their rent. More importantly, the service also enables landlords to keep track of payments as well as send automatic text/email reminders. This ensures more accountability and a higher chance of payment on time by tenants.
- **Scale Operations:** Rentsway's ability to manage multiple properties on its platforms helps landlords scale their operations and manage tenants further away without having to deploy significant numbers of staff or invest in large back-office operations.
- **Competitively Priced:** Most of Rentsway's core features are available at a low price for landlords with the option to pay for additional ala-carte services to customize their Rentsway experience to their liking.
- **Much-Needed Convenience:** Rentsway organizes an array of features; from tenant information to payments in one secure place allowing landlords to easily retrieve and review information when needed. This enables landlords to spend more time on work that boosts their income and less time on minor administrative tasks.

Benefits for Tenants

- **No More Checks:** Rentsway brings the entire rental payment process online, enabling tenants to pay for their rent with their credit cards, debit cards, or bank accounts straight from their phone or computer.
- **Great Features:** With Rentsway, tenants no longer need to call their landlords to request maintenance. Furthermore, tenants are able to sign and review their leases online, check up on messages left with their landlord, and even split payments among their roommates.
- **Communication:** Rentsway removes phone tag and unanswered texts or emails by bringing all communication to one location.

Business Model

Rentsway will generate revenues by taking a percentage of total payments processed through the platform, as well as a low monthly fee to landlords for using the platform. While landlords will receive a fixed monthly percentage fee for their receivals, tenants will be subjected to different charges depending on whether they are using their credit/debit card or linking Rentsway directly to their banking account. These payment processes will be achieved through the use of a third-party payment processor known as Braintree, which will earn a small percentage from these transactions.

In addition, the Company will also earn revenues through charging landlords to list their properties on the main web platform, as well as tenant screening services.

Figure 1: Business Model of Rentsway

Key Revenue Stream	Percentage to Braintree	Percentage to Rentsway
Payment Transaction Fee to Landlords	0.00%	0.10%
Payment Transaction Fee to Tenants Using Credit/Debit Cards	2.90% + 30 cents	0.10%
Payment Transaction Fee to Tenants Using Banking Accounts	0.75% capped at $5	0.20%

Key Revenue Stream	Price	Cost
Listing Services	$10	-
Tenant Screening Fee	$30	$15

Expansion Plan

Once the Company achieves success within its target markets, the Company will incorporate more functionalities into the platform in order to generate more sources of revenue for Rentsway's long-term operations. This will also include a nation-wide expansion targeting highly-urbanized cities throughout the United States, specifically locations such as San Francisco, Los Angeles, Houston, Dallas, and more. Each of the Company's new functionalities will take place in targeted phases, depending on the current level of popularity, scale, and profitability of the platform:

Phase 1:

- The first phase of expansion will include a landlord's ability to schedule showings via the platform. Rentsway will handle all coordination between a landlord and a tenant, ensuring tenants are duly informed of the showing. Rentsway will earn a 5% brokerage fee from every apartment showing that leads to a new tenancy.

Phase 2:

- In the future, the Company will also enable tenants to build their credit by monitoring their successful payments made through the platform and reporting it to relevant credit agencies. This feature is already being implemented by businesses such as Rent Track.
- Within five years the Company will look to make itself independent of Braintree by incorporating its own payment processing system in order to take a greater portion of fees from payments made through the property management platform.
- Rentsway will also look into providing renters insurance and other unique features to keep renters happy using the platform and other convenient features to become the go-to property management platform for landlords everywhere, such as in-depth analytical information about their properties.

Opportunity Analysis

Apartment Rentals in the United States

Seeking to disrupt the Apartment Rental industry by improving the customarily poor communication habits between landlords and tenants. Rentsway has outlined the total value of payments in the Apartment Rental industry. This industry includes owner-lessors of residential buildings and establishments that rent real estate and then act as lessors by subleasing it to others. In addition to apartment rentals, the industry also includes single-family homes and town houses.

Figure 2: Apartment Rentals in the US: Industry Snapshot (IBISWorld, 2019)

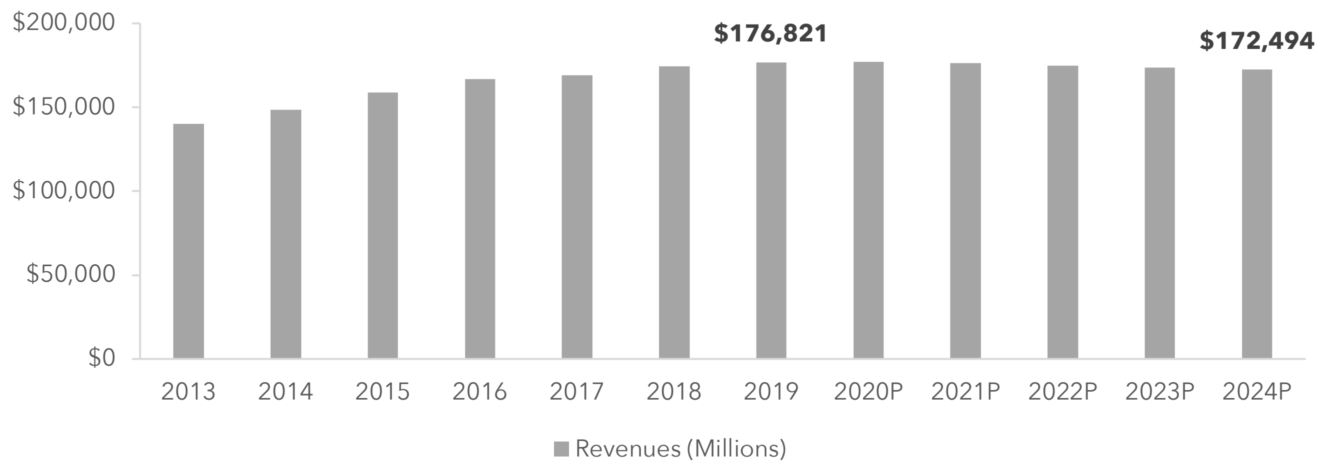
Industry Revenue (2019)	Industry Profit (2019)	Annual Growth ('14-'19)	Businesses
$176.8 bn	$55.7 bn	3.5%	545,493

Industry Performance

From 2014 to 2019, operators in the Apartment Rental industry have experienced strong growth.

Key to this growth has been the increasing number of landlords and non-owner-occupied households as of late. According to a 2017 (latest data available) study published by ATTOM Data Solutions and Clear Capital, 79.0% of landlords now own only one to two properties. Moreover, the share of nonowner-occupied properties rose from 32.0% in 2015 to 35.0% in 2016, a 21-year high, according to ATTOM. Additionally, the share of Federal Housing Administration (FHA) first-time home buyers declined from 22.3% in 2016 to 21.7% in 2017. As consumers shift towards apartment rentals as opposed to home-ownership, revenues have increased. As such, IBISWorld expects that the industry generated a total of $176.8 billion in revenues from 2014 to 2019, and this figure is expected to rise by 1.3% in 2019 as a result of falling vacancy.

Figure 3: Apartment Rentals in the US: Historical and Future Revenue Estimates, 2014-2024 (IBISWorld)



Current Industry Trends

Dynamics of Demand

Urban areas have been the largest benefactor of increased demand for rental units in the Apartment Rental industry. **Major metropolitan centers, such as New York City, have a high population density and a shortage of space. Therefore, real estate prices are typically high, which makes rental housing more attractive than homeownership.** This effectively outlines the immense value of the Company's initial target market – New York. Under such conditions, renting is typically a less expensive and more practical alternative to owning property. On the national level, the exodus from homeownership forced families who once owned property to move into apartments. As a result, demand for single-unit rentals that can house an entire family grew.

Industry Outlook

Over the next five years to 2024, the industry is anticipated to contract slightly, due to a slight rise in the rental vacancy rate. Much of this is expected to come from the top-end of the market due to an oversupply of luxury units. **New forms of rental housing catering to the middle and low-end of the market are expected to enter the market, which will help soften this contraction in the long term**, effectively benefiting the Company's prospects. Most importantly, technology is expected to play an even more vital role among landlords and their renters. Payments will remain a necessity of the industry and landlords are expected to look for ways to help streamline and ensure a more timely and convenient payment from their renters, which will yield more demand for Rentsway in the future.

Future Industry Trends

Favorable Demographics

Over the coming years, the number of people between the ages of 25 and 35 is expected to rise. This age group has the greatest potential to rent moving forward because many young adults have often not yet earned enough income to purchase a home. Moreover, since an increasing number of people in this age group are holding off on both marriage and having children, they are also stalling family formation. Married couples can combine their incomes and are likely to both have kids and have enough money to support them; they can afford to buy a home, providing the space requirements that would encourage them to have a family. Conversely, singles do not require as much space and typically favor renting.

They also typically prefer to live in cities where homeownership is expensive, and renting is more prevalent. Therefore, as this demographic grows, so will demand for rental apartments. In particular, this trend will boost demand for multi-unit apartment buildings in major metropolitan areas such as New York and Los Angeles. Such buildings can have as many as 50 apartment units, which is particularly advantageous in cities where space is limited. In addition to young single adults, retiring and single baby boomers will boost industry demand. These so-called "empty nesters" are increasingly selling their homes in the suburbs and moving into apartments because they do not need the space and wish to better manage their funds for retirement. It is expected that these demographics will support the industry over the next five years as they did during the current period.

Market Analysis

Target Market Overview

The Company will specifically begin operations in Vermont and New York with the former acting as the initial test market for Rentsway. Rentsway's primary users will include landlords who lease properties such as apartments, townhomes, and single-family units directly to consumers. Thus, the total number of industry players in the overall Apartment Rentals industry is highlighted below and on the following pages. The Company has also outlined the number of rental housing units throughout the Company's core markets to help illustrate the huge opportunity available to Rentsway.

Distribution of Landlords throughout the United States

The distribution of apartment rental establishments typically follows population concentration. The more people living in a particular area, the more apartments there are. Population density is also important. For example, in large cities where there is limited space, apartments make up a larger share of housing.

Number of Landlords

According to IBISWorld, there are over 545,493 businesses engaged in the apartment rental business in the United States. New York has the single largest number of landlords in the entire US Apartment Rental industry, accounting for 94,916 of total industry establishments or 17.4% of the total industry. This is followed by California and Texas. On the other hand, Vermont accounts for 545 of industry establishments representing 0.1% of the total industry. Together, this would mean that the Rentsway has the opportunity to serve the needs of 95,461 landlords within its initial target markets. **It should be noted that this figure does not include the 23.2 million individual landlords that may not be registered as a business in the United States.**

Figure 4: Number of Landlords (IBISWorld 2019)

State	Number of Landlords
Alabama	6,546
Alaska	1,091
Arizona	7,637
Arkansas	5,455
California	75,824
Colorado	7,637
Connecticut	4,909
Delaware	1,636
DC	2,182
Florida	30,002

Georgia	13,092
Hawaii	2,182
Idaho	2,727
Illinois	14,728
Indiana	9,273
Iowa	4,364
Kansas	4,364
Kentucky	6,000
Louisiana	6,000
Maine	2,182
Maryland	8,728
Massachusetts	8,728
Michigan	9,819
Minnesota	9,273
Mississippi	4,909
Missouri	8,728
Montana	9,273
Nebraska	2,727
Nevada	4,364
New Hampshire	1,636
New Jersey	16,910
New Mexico	2,727
New York	**94,916**
North Carolina	12,546
North Dakota	1,636
Ohio	17,456
Oklahoma	4,909
Oregon	8,182
Pennsylvania	15,274

Rhode Island	1,091
South Carolina	4,909
South Dakota	2,182
Tennessee	9,273
Texas	40,912
Utah	3,273
Vermont	**545**
Virginia	12,001
Washington	16,910
West Virginia	2,727
Wisconsin	8,182
Wyoming	1,636
USA	**545,493**

Rented Housing Units

The latest American Community Survey estimates that landlords in the United States managed over 40,768,931 housing units between 2013 and 2017. This would mean that rental housing units accounted for 30% of the total housing units in the nation. The survey went on to find that the majority of households (41.1%) were paying anywhere between $500 and $900 for their rent, followed by those who were paying between $1,000 and $1,499 (28.7%). During the survey period, New York had an estimated 3,239,340 rented units, while Vermont had 71,516. This would yield a total market size of 3,310,856 rented housing units, which Rentsway can potentially serve across its two initial target markets.

Figure 5: Rented Housing Units (American Community Survey, 2017)

State	Number of Rented Housing Units
Alabama	519,581
Alaska	84,165
Arizona	869,268
Arkansas	357,145
California	5,678,165
Colorado	708,903
Connecticut	435,071

Delaware	96,057
DC	157,039
Florida	2,522,353
Georgia	1,280,857
Hawaii	178,480
Idaho	174,339
Illinois	1,562,084
Indiana	744,568
Iowa	338,934
Kansas	354,782
Kentucky	514,316
Louisiana	536,544
Maine	143,491
Maryland	696,825
Massachusetts	940,479
Michigan	1,067,206
Minnesota	584,669
Mississippi	307,388
Missouri	739,733
Montana	124,107
Nebraska	239,152
Nevada	456,027
New Hampshire	148,319
New Jersey	1,108,584
New Mexico	227,500
New York	**3,239,340**
North Carolina	1,262,654
North Dakota	106,907
Ohio	1,491,144

Oklahoma	460,320
Oregon	577,531
Pennsylvania	1,458,373
Rhode Island	159,019
South Carolina	534,288
South Dakota	101,119
Tennessee	791,078
Texas	3,395,179
Utah	271,335
Vermont	**71,516**
Virginia	994,930
Washington	988,158
West Virginia	169,342
Wisconsin	736,236
Wyoming	64,331
USA	**40,768,931**

Market Trends: Landlords and Technology

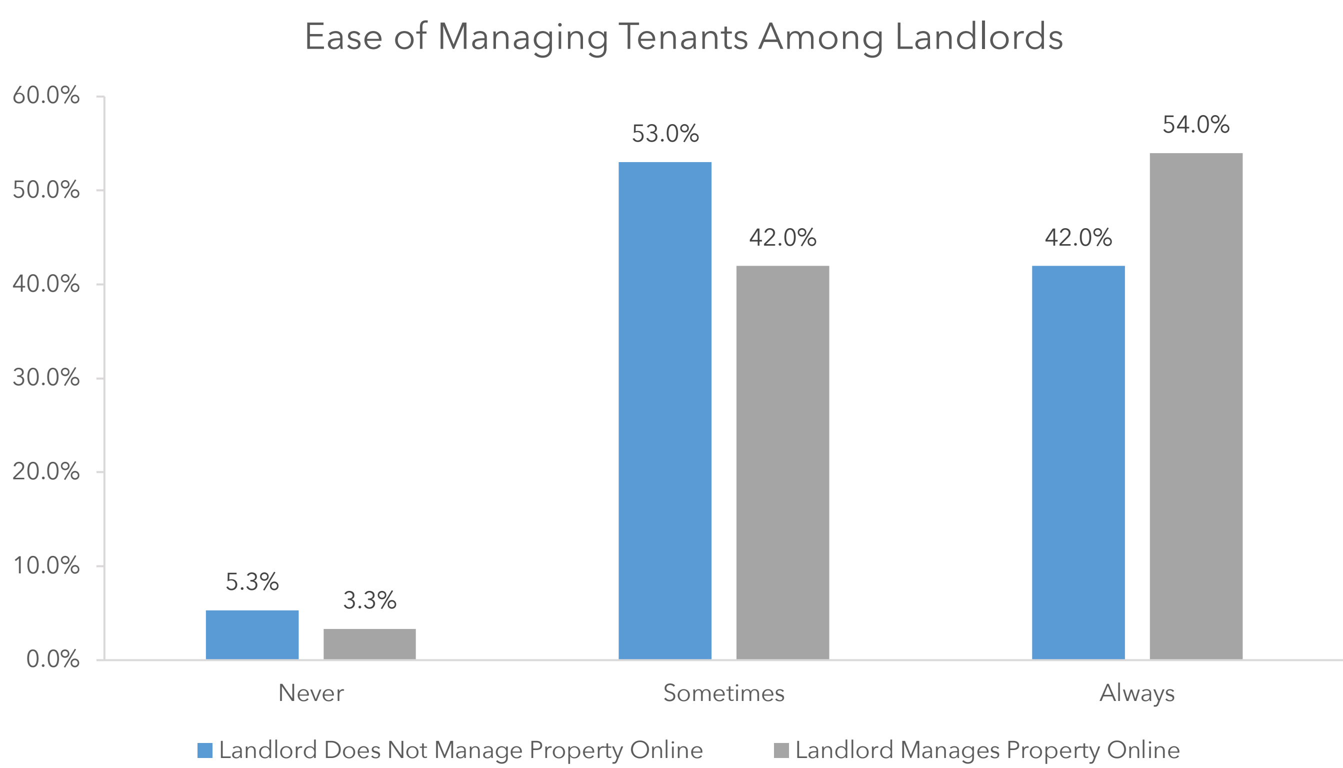
The growth of new technologies has afforded landlords with new ways to better manage their rental units, improve cashflow, and provide more convenient services for their tenants. Global real estate intelligence platform Propmodo's 2018 *State of Landlords* report found that more landlords across the country have been rapidly implementing technology to better manage their properties and tenants. Various forms of online services whether its handling rental payments online or scheduling maintenance requests have essentially given rise to a new breed of "automated landlords" able to own and seamlessly manage a vast property portfolio across larger distances with less staff and better returns.

Take for instance rental payments. Propmodo's report found clear monetary advantages for landlords that implemented online services (such as rental payment features) to manage their properties:

"Landlords who use online services to manage properties receive rent on time 72.4% of the time compared to the average of 66.7%"

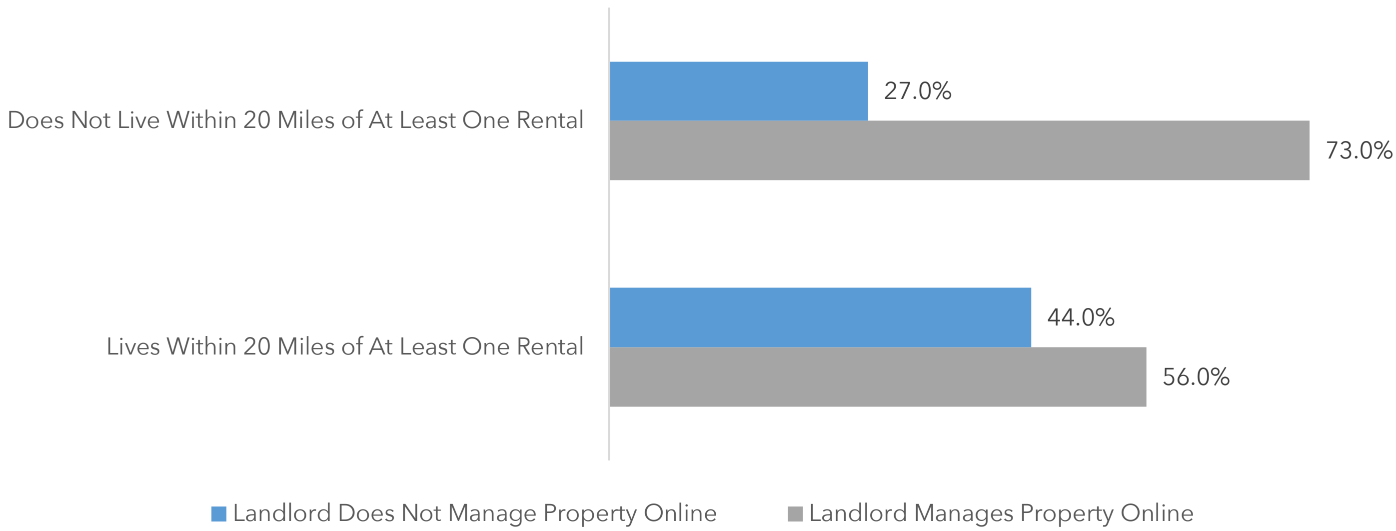
Another key benefit for landlord's managing properties online involves tenant satisfaction. On average, more than 54% of landlords that manage their properties online felt it was always easier to work with tenants compared to 42% that don't manage their services online.

Figure 6: Tenants Found Easy to Work With (Propmodo: 2018 State of Landlords)



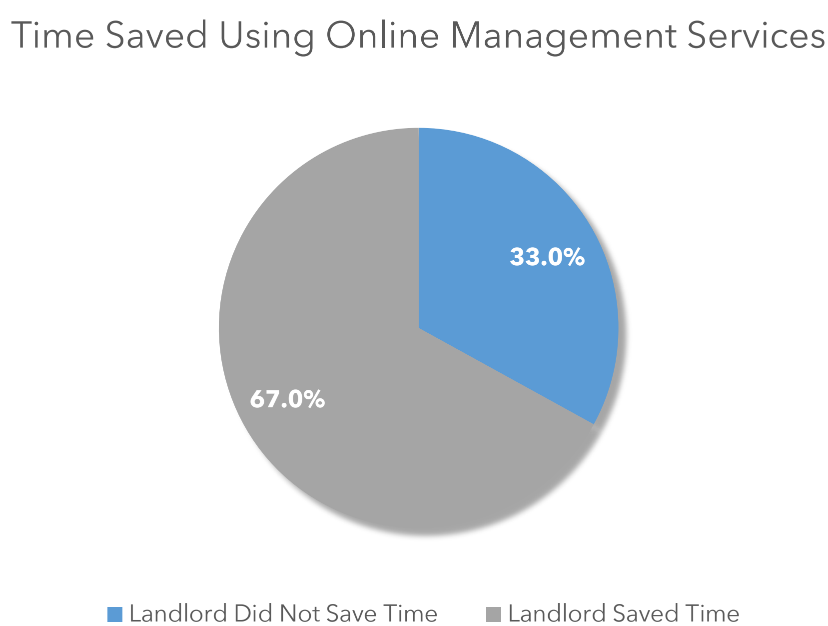
Landlords also have the ability to manage more properties across larger distances using online services. As shown in the chart below, 73% of landlords surveyed by Propmodo were able to own properties beyond 20 miles of their homes. ENDED HERE

Figure 7: Online Services and Distance to Property (Propmodo: 2018 State of Landlords)



Not surprisingly, these types of online services all help landlords free up their time, allowing them to spend more of their day on activities that boost income and less time on minor administrative tasks.

Figure 8: Time Saved by Landlords (Propmodo: 2018 State of Landlords)



Competitive Analysis

Competitive Overview

Rentsway will compete with other property management software providers in the US. This includes Cozy, UpTop, Buildium and others. An in-depth analysis of these three competitors and what they offer is shown below. The Company will rise above the competition through the following key competitive advantages:

- **Built for Landlords and Tenants:** Rentsway is created with the needs of landlords and tenants in mind. This will be reflected in the platform's intuitive functionalities, the ability to seamlessly access from all devices, and the low cost fees for each party to use.
- **Excellent Customer Service:** Happy and satisfied customers will always be a priority for Rentsway. Landlords will be able to easily contact the Company's support team should they encounter any problems with the platform. These problems will be solved quickly and effectively to ensure a loyal base of satisfied customers.
- **Technical Expertise:** Rentsway's back-end and front-end development will be overseen by a successful Product Manager, namely Brian Boisjoli. Brian's extensive and hands-on coding and project managment experience will ensure the platform's successful development and launch into the market. Brian will consistently find ways to provide new and innovative features for Rentsway to adopt in order to generate more revenues and remain customer centric.

Major Competitors

Figure 9: Cozy

	Cozy
Company Overview	Cozy is an online property management service for landlords and renters. The company offers services, such as online rent collection, tenant screening, property listings, rental applications, rent estimates, insurance, expense tracking, and maintenance for landlords. For renters, services include renter profile, online rent payments, and renter insurance. It was was incorporated in 2012 and is based in Portland, Oregon. It started operating as a subsidiary of Apartments, LLC. in 2018.
Corporate Information	Address: 3514 North Vancouver Avenue, 4th Floor, Portland, OR 97227 Website: cozy.co
Services and Price Points	Renters • Pay rent online

	• Set up recurring payments • Pay with as many roommates as you have • Apply to properties listed on Cozy • Securely share screening reports with landlords • Build your credit history just by paying rent • Protect your stuff with renters insurance • View leases and other important documents • Easily share your Cozy rent payment history with the next landlord Renter Paid Services • Tenant screening reports: $24.99 for individuals; $39 for bundle • Card payments: 2.75% service fee • Renter insurance: $20/month Landlords • Collect rent online • Screen tenants with credit reports and background checks • Accept online rental applications • Market listings on Realtor.com and Doorsteps • Request one-time payments for move-in costs, deposits, utilities, etc. • Bill automatic late fees • Track maintenance requests • Organize and track your property expenses • Upload and share important documents • Require renters insurance • Screen and collect payments from an unlimited number of tenants and roommates • Export payment histories to financial software • Use multiple bank accounts to collect rent and other payments • Get a rent estimate and property analysis Landlord Paid Services • Cozy Rent Estimate report: $19.99 • Express payout: $2.99/month
Clients Served and Markets	(Based on site traffic) United States: 95.62% Canada: 0.60% France: 0.58% Argentina: 0.33% India: 0.25%
Marketing Strategy	Cozy's online marketing initiatives include regular postings on Facebook, Twitter, Instagram, LinkedIn, and Medium, in addition to YouTube. Most of its content deals with instructional material, for example, listicles on various

	topics of renting, explainers on renting issues (liabilities and agreements), guides, and other rent-centric topics. The company also produces in-depth videos on similar topics. Overall, the company seems to be heavily-invested in content strategy, which is a well-known strategy to build a strong reputation and improve online rankings.
SEO Strategy	Monthly Visits: 1.04 million Avg. Visit Duration: 04:30 Pages per Visit: 7.26 Bounce Rate: 30.59% Organic Keywords: 3,992 Est. Monthly SEO Clicks: 135K Est. Monthly SEO Click Value: $102K Paid Keywords: 5,045 Est. Monthly PPC Clicks: 11.5K Est. Monthly AdWords Budget: $34.9K The company seems to have established its brand among users owing to most searches (77.45%) coming by keywords using the company's name itself. Despite its strong performance on organic search, the company maintains a hefty investment on PPC, with monthly budget nearly reaching $35K, according to Spyfu.
Reviews	FitSmallBusiness: 3.6/5 (13 ratings) FinancesOnline: 9.5/10 G2: 4.4/5 (High Performer: Spring 2019)

Figure 10: UpTop

	UpTop
Company Overview	UpTop is a free end-to-end rental platform that combines a rental listing search platform and a property management software to streamline the way renters and landlords, owners, reps, and property managers work together for the entirety of the renting lifecycle. The company allows tenants to find rental properties, communicate directly with landlords, review and sign leases, and automate rent payments. Landlords can also screen clients and

	collect payments using the platform. It was founded in 2015 and is based in New York, New York.
Corporate Information	Address: 1460 Broadway, New York, NY 10036 Website: liveuptop.com
Services and Price Points	**Renters** • Listing search • Application • E-signature • Payment • Communication Renter Paid Services • Payment processing rates: 2.9% for credit/debt cards; $5 for checks Landlords • Listing post • Screening • Leasing • Payment Collection • Maintenance • Accounting Landlord Paid Services • Application and screening fees: $59 per applicant
Clients Served and Markets	Not published
Marketing Strategy	Based on the type of content found online, UpTop is not keen on producing its own content because almost all of its posts are shares of third-party articles. It has accounts on all major social media sites like Facebook, Twitter, and LinkedIn, but they all share the same content. Its blog section only has three entries, which further indicates that content strategy is not high on the company's priorities. It does, however, share updates on live events that its team has attended, which may suggest that it favors offline initiatives to digital.
SEO Strategy	Monthly Visits: n/a Avg. Visit Duration: n/a Pages per Visit: n/a Bounce Rate: n/a Organic Keywords: 1 Est. Monthly SEO Clicks: 1.18 Est. Monthly SEO Click Value: $0

	Paid Keywords: 361 Est. Monthly PPC Clicks: 0 Est. Monthly AdWords Budget: $0 Search data for UpTop suggest that the company is a bit on the weak side when it comes to SEO. Search traffic to its website only account for 16.19%, which means that it is not turning up in most search engines. Its lack of original content and PPC strategy may have aggravated its poor performance on search.
Reviews	n/a

Figure 11: Buildium

Buildium

Company Overview	Founded in 2004, Buildium is a property management software company that caters to small businesses. It provides cloud-based (software as a service), real estate software solutions. Its property management software allows real estate professionals to manage property portfolios, including leasing, accounting and operations. The company is based in Boston, Massachusetts.
Corporate Information	Address: 225 Franklin Street, Suite 350, Boston, MA 02110 Website: buildium.com
Services and Price Points	The Buildium property management software offers the following features: **Accounting** • Property Accounting • Company Financials • Online Payments • Retail Cash Payments • 1099 E-Filing **Business Operations** • Resident Site • Owner Portal • Document Storage • Maintenance Request Tracking • Property Inspections

	• Renters Insurance Plus **Leasing** • Rental Listings • Rental Applications • Showings Coordinator • Tenant Screening • Professional Website • ELease Pricing depends on the number of units the customer plans to manage. For 100 units, the prices are as follows: • Core plan: $156 per month • Pro plan: $208 per month Prepayment for one year reduces the price by 10%. Additional Services • Renters insurance: $14.50 per tenant • Remote check printing: $30 setup fee; $0.80 per check • Showings coordinator: starts at $30 per month • 1099 eFiling: $25 per batch + $3 per form • EXMail: $0.80 per single-page mailing + $0.15 per additional page • Retail cash payments: $199 setup fee per bank account
Clients Served and Markets	According to B2B database company Enlyft, Buildium has a market share of about 0.4% in the real estate and property management industry. The company has a total of 86 company users with many coming from the real estate (34%) industry, staffing and recruiting (12%) industry, and computer software (7%). Moreover, 74% of Buildium customers are in United States and 6% are in Canada.
Marketing Strategy	Buildium's marketing initiatives are much more robust than that of other competitors in this list. It creates its own content and actively posts on all major social media platforms, with LinkedIn having the highest engagement rate. Its blog posts are well-researched, often featuring the latest industry data. The type of content it produces is also varied. For instance, it has a podcast called The Property Management Podcast and professionally shot instructional and promotional videos.
SEO Strategy	Monthly Visits: 349.48K Avg. Visit Duration: 02:03 Pages per Visit: 1.95 Bounce Rate: 78.33% Organic Keywords: 9,433 Est. Monthly SEO Clicks: 136K

	Est. Monthly SEO Click Value: $176K Paid Keywords: 2,220 Est. Monthly PPC Clicks: 9.82K Est. Monthly AdWords Budget: $42.3K High online engagement indicates a high spending on PPC. Buildium's estimated PPC budget exceeds $42,000, which can only mean that the company is dependent on business coming from online search. Its SEO performance is also remarkable as a third (32.85%) of traffic going to its site comes from organic search.
Reviews	FitSmallBusiness: 4.8/5 (22 ratings) FinancesOnline: 8.3/10 G2: 4.5/5 (99 reviews)

Marketing Plan

Marketing Overview

Rentsway will develop a well-crafted integrated marketing strategy, utilizing marketing and advertising to reach its target market and position the Company as the most convenient, useful, and seamless property management platform available in the United States. Through the use of a comprehensive and diverse marketing plan, the Company will expand its reach and strengthen the appeal of its property management platform among landlords, starting with those based in New York and Vermont. A key aspect of this strategy will include the efforts of a COO that will contract and secure service agreements between Rentsway and landlords in its target markets. The Company will continually track the client acquisition cost, lifetime value of each customer, and ROAS in order to reduce marketing expenditures and increase profit margins.

Market & Brand Positioning

The goal of Rentsway's marketing plan is to create a platform for long-term success and brand awareness. It will achieve this through the following measures:

- Establish the platform's brand identity among landlords as the most reputable, trustworthy, and convenient property management solution on the market.
- Create an educational process to assist the Company's target market about its property management platform showing a clear advantage over existing players and resources available today.
- Develop demand for the Company's property management platform on a regular basis.

General Brand Awareness and Platform Education

Website/Brand Identity

The Company will develop a mobile optimized and well-developed website that will help interested landlords learn more about the property management platform. This will include aesthetically pleasing vector illustrations, interactive pricing tools and platform previews that will highlight the key functionalities and overall user experience of Rentsway. The website will also provide examples of properties using Rentsway along with positive customer testimonials to reinforce the reliability and effectiveness of the platform. The website will also include links to the Company's social media accounts along with general contact information, which will encourage landlords to convert into users by reaching out to the Company's business development executive (COO).

The Company will also utilize a series of digital marketing initiatives to drive website engagement through e-mail marketing and online advertising. The Company is considering utilizing a platform, such as Mailchimp, Bronto, or Sendgrid to execute these e-mail campaigns. This is a powerful way to engage frequent and new visitors with value added content that links to the Company's offerings, while building the opt-in mailing list for additional cross promotion and prospective customer follow up.

Retargeting

The website will also be utilized in the Company's retargeting efforts. Retargeting is a form of online advertising that gets website visitors who didn't convert back to a site by showing them retargeted ads. To do so, Rentsway will install a tracking code on all of its website pages. The code will automatically drop an anonymous cookie in the visitors' browser and create lists of people who have visited the website. Rentsway is considering working with retargeting partners such as Criteo or RTB.

Exit Intent Popups

On the website, Rentsway will run exit intent popups before a visitor leaves the page. An exit intent popup is a digital advertisement (popup) that appears before a client is about to leave a webpage. Rentsway's exit intent popup will feature either a "Join Our Newsletter" call to action where users can input their e-mail address for updates on the platform or a "Need Help?" pop-up that will ask customers if they need assistance getting in touch with the Company's business development executive (COO).

Newsletter Campaigns

Using the e-mails gathered from its website and its retargeting strategy, the Company will also seek to implement ongoing workflows and weekly e-mail blasts. This will be an ongoing initiative turning prospective users into customers though educational and promotional content. Again, the e-mail service providers considered by Rentsway are: Mailchimp, Bronto or Sendgrid.

Search Engine Optimization

Internet searches are by far the most common activity on the internet making it crucial to appear among the top results when users search for keywords related to the Company's service offerings. The Company will implement an efficient search engine optimization strategy, whereby the Company can optimize content using keywords related to property management platforms, online rental payments, and more. By optimizing the Company's website, Rentsway's website can organically aggregate higher on Google, Bing, Yahoo and other search engines. The Company will also continue to analyze and opt for key words associated with its platform. Google Search Console will be monitored continuously to improve the strategy.

Pay-Per-Click Campaigns

Rentsway will also utilize search engine marketing campaigns to target potential customers. This will include pay-per-click ad campaigns that target high search volume terms relevant to the business to drive traffic to the Company's website. Rentsway will analyze and opt for keywords that are the most cost effective in terms of driving traffic to the website, enhancing the Company's visibility on the market and increasing the number of users on its property management platform.

Social Media

Social media offers an inexpensive way to engage with potential customers at virtually no cost to the Company. Thus, the Company will create dedicated pages on Facebook, Twitter, YouTube, and Instagram, that will serve as hubs of content for potential customers to learn more about the Company's property management platform, read testimonials from satisfied clients, tips for landlords to make the best out of the platform, and more. Content for these pages will include engaging product photos and posts about the benefits of utilizing a property management platform like Rentsway. These posts will also include positive news coverage from media outlets, and updates on the Company.

Business Development Initiatives

The Company will initially target small to medium sized landlords based throughout New York and Vermont that are looking for a seamless property management solution. Once the platform achieves success within New York and Vermont, the Company will look to significantly expand its footprint by targeting landlords in other urbanized states with large cities such as California and Texas.

Client Acquisition Strategy

In order to provide landlords with the Company's property management platform, Rentsway will hire a COO, who will act as the business development lead. This member will develop contracts and letters of intent to secure service agreements with landlords throughout its target markets. Rentsway will collaborate closely with these landlords in order to educate the market, generate further sales, obtain user feedback and consistently improve the quality and effectiveness of its platform. The COO's duties will encompass the following:

- **Identify landlords** of properties through channels such as LinkedIn. These types of personnel will include owners as well as staff members under a particular real estate company.
- **Conduct cold calls, outbound email campaigns, screenshare presentations, and one-to-one appointments** with landlords in order to form strategic sales partnerships.
- Provide digital case studies with full instructions on how to use the platform. These digital case studies will also include in-depth information on the core value proposition.
- **Regular follow-ups via email, calls, or physical appointments** in order to help close these deals for the Company.
- Once these accounts have been secured, a dedicated account manager will be issued to the client to handle any **platform requirements, issues, as well as obtain any user feedback** related to Rentsway.

Strategic Partnerships

The Company will also forge strategic partnerships with real estate brokerage companies and New York landlord associations (for example: National Homeowner-Landlord Association, LandlordsNY, and Small Property Owners – Ny Inc.). These types of partnerships will form a powerful referral network through cross-promotion of the Company's core platform. As with any marketing intensive business, the Company will benefit from participating in a number of corporate collaboration or networking opportunities that have the potential to yield new users of its innovative platform.

These partnerships can range in function— some will be opportunities to share marketing pools and cross-selling opportunities to help solidify the branding of Rentsway. while simultaneously gaining the market of a partner's existing following. The COO will focus on creating target lists of potential organizations and individuals to develop relationships with. These points of contact will be the essential decision makers within the organizations, which helps present Rentsway as an ideal, synergistic partner.

Operations Plan

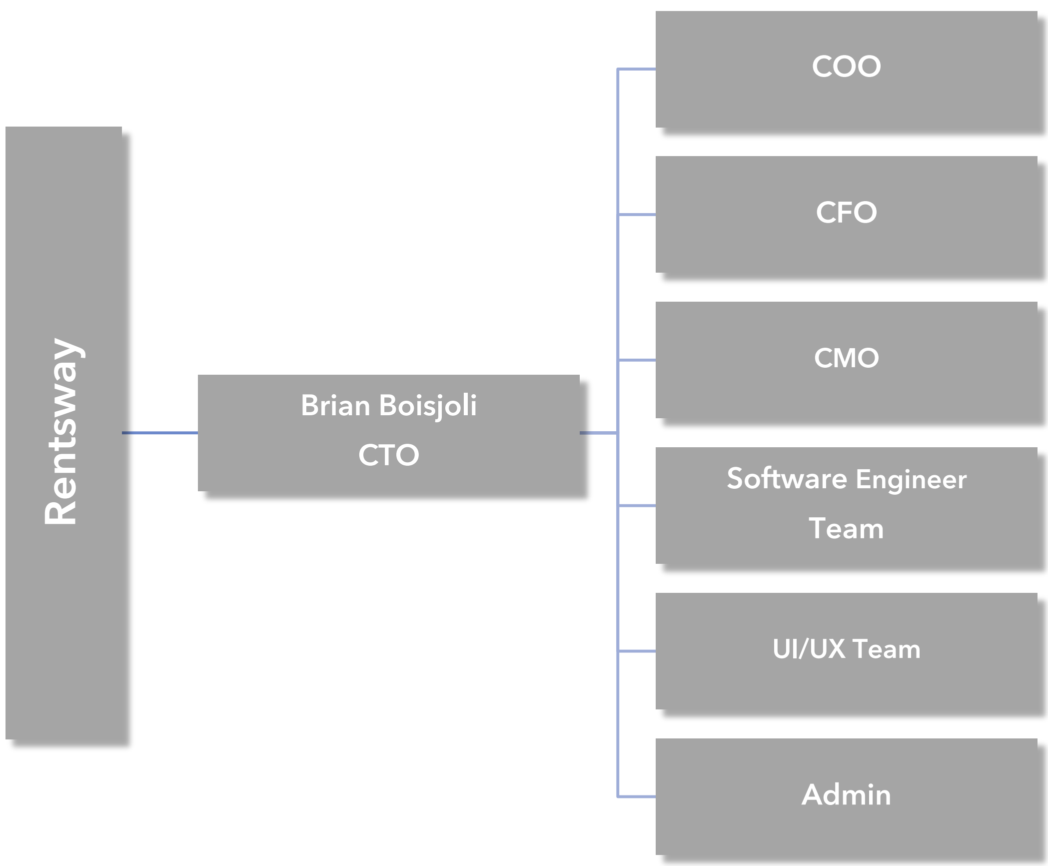
Corporate Information

Ownership	Brian Boisjoli
Business Entity	Rentsway
State of Registration	New York
Physical Address	245 East 13th Street, NY, NY 10003

Corporate Structure

The Company's corporate structure is highlighted in the chart below. Brian will be responsible for the technical aspects of the platform and will spearhead its overall development and deployment within its core markets. He will also oversee a Software Engineering Team and the UI/UX Team. He will be assisted by the following C-Level executives, namely a COO to handle business development, a CFO, and a CMO. Other support staff will include an Administrative personnel.

Figure 12: Rentsway's Organizational Chart



Management Team

Brian Boisjoli

Founder/Owner

Brian Boisjoli is the founder of Rentsway. Brian currently has over two years of experience working for Health E-Commerce in New York City, one of the top online consumer retailers for health and wellness in the United States. At present, his role involves working and coordinating with the internal departments, third-party providers, and clients to seamlessly integrate and implement on-site features, embeddable widgets, analytics solutions, and conversion improving testing initiatives for the benefit of Health E-Commerce. This, coupled with a strong technical expertise regarding front-end and back-end development for both web and mobile applications, has enabled him to successfully manage projects with all levels of difficulty.

His passion for Information Technology began at the University of Vermont, where he has a Bachelor of Science degree in Computer Science. During the summer of his Junior year, he acquired an IT internship at Vermont HITEC, where he worked in a two-person development team to create a mobile application that allowed employers and educators to connect based on mutual interests. During his Senior year, he maintained a 20 hour/week Website Development internship at a marketing firm called Brandthropology, while balancing a full schedule of classes.

These internships created the foundation for Brian's success as a Product Manager. He has led Health E-Commerce through two website redesigns and allowed it to transition from adaptive to fully mobile responsive. He leads the on-site testing initiatives and aligns the product roadmap with the corporate initiatives. He's also helped lead the once-startup through a majority equity investment from a Chicago-based Private Equity firm and into the mid-sized business it is today with roughly 80 employees.

All of Brian's work has prepared him for the role of CTO of Rentsway. His technical and analytical expertise will all play a crucial role in the successful development and launch of the property management platform. His current experience as a Product Manager is a testament to the skills he brings with him needed to create an industry-disrupting property management platform. Having been initially been inspired by the lack of online services with his previous landlords in New York City, Brian strongly believes that there is an unmet need in the market regarding convenient, useful, and effective online property management services.

Financial Plan

Fund Use

The Company is seeking $100,000 in equity funds in order to launch and begin operations. Capital will be spent on the initial marketing budget, permits and licenses, and completing the development of Rentsway. A small portion of the capital will also be dedicated towards working capital expenses.

Fund Use Analysis	Year 1
Intangible Assets	
Initial Marketing Budget	$10,000
Permits and Licenses	$2,500
Platform Development	$80,000
Total Intangible Assets	**$92,500**
Working Capital	
Salaries and Opex	$7,500
Total Working Capital Budget	**$7,500**
Total Infusion Required	**$100,000**

Key Revenue Assumptions

Total Number of Landlords

The total number of landlords that will be added to the Rentsway platform on a yearly and monthly basis are highlighted below. This includes the cumulative number of landlords with a 15% churn rate (which assumes that 15% of landlords on the platform will discontinue services every month).

	Monthly Growth Rate	Total Landlords Added	Monthly Landlords Added	Cumulative Landlords Yearly
Year 1	20.0%	112	9	72
Year 2	15.0%	717	60	439
Year 3	8.0%	2,357	196	1,346
Year 4	7.0%	5,544	462	3,164
Year 5	5.0%	10,903	909	6,113

The average number of tenants per landlord is calculated via the assumptions below.

Average Number of Tenants	Tenants	Utilization Rate
Low	4	50.00%
Medium	12	30.00%
High	19	20.00%
Weighted Average	9	

Based on this weighted average and the cumulative number of landlords, the total cumulative base of tenants that will use Rentsway is highlighted in the chart below.

	Cumulative Tenants
Year 1	667
Year 2	4,065
Year 3	12,449
Year 4	29,266
Year 5	56,549

Given the cumulative number of tenants, average rental payment assumptions are highlighted in the table below.

Average Rental Payments	Payments	Utilization Rate
Low	$2,000	50.00%
Medium	$3,000	30.00%
High	$4,000	20.00%
Weighted Average	$2,700	

Given the cumulative number of tenants and the average rental payments, total payments processed through Rentsway are highlighted in the chart below.

	Total Payments Processed
Year 1	$8,445,006
Year 2	$67,393,641
Year 3	$264,251,824
Year 4	$665,800,366
Year 5	$1,397,878,345

Landlord Revenues

Out of these transactions, a 0.10% fee will be charged to landlords receiving their monthly payments. The total amount of money generated through revenue stream to Rentsway is highlighted on the following page.

	Total Revenues to Rentsway
Year 1	$8,445
Year 2	$67,394
Year 3	$264,252
Year 4	$665,800
Year 5	$1,397,878

Tenant Revenues (Payments Processed Through Credit/Debit Cards)

The total payments processed through credit/debit cards by tenants are highlighted in the chart below.

	% of Total Payments	Total Payments Processed
Year 1	10%	$844,501
Year 2	10%	$6,739,364
Year 3	10%	$26,425,182
Year 4	10%	$66,580,037
Year 5	10%	$139,787,835

Out of the total payments processed via credit/debit cards from tenants, Rentsway will earn a 0.10% payment transaction fee. Total revenues generated through this revenue stream are highlighted below.

	Total Revenues to Rentsway
Year 1	$845
Year 2	$6,739
Year 3	$26,425
Year 4	$66,580
Year 5	$139,788

Tenant Revenues (Payments Processed Through ACH)

The total payments processed through ACH by tenants are highlighted in the chart below.

	% of Total Payments	Total Payments Processed
Year 1	90%	$7,600,505
Year 2	90%	$60,654,277
Year 3	90%	$237,826,641
Year 4	90%	$599,220,329
Year 5	90%	$1,258,090,511

Out of the total payments processed via ACH from tenants, Rentsway will earn a 0.20% payment transaction fee. Total revenues generated through this revenue stream are highlighted below.

	Total Revenues to Rentsway
Year 1	$15,201
Year 2	$121,309
Year 3	$475,653
Year 4	$1,198,441
Year 5	$2,516,181

Landlord Revenues (Listing Services)

The Company also assumes that 20% of landlords utilizing Rentsway will opt for its listing services. The total number of landlords utilizing this service is highlighted in the chart below.

	% of Cumulative Landlords	Total Landlords
Year 1	20%	14
Year 2	20%	88
Year 3	20%	269
Year 4	20%	633
Year 5	20%	1,223

Based on a monthly fee of $10, total revenues generated by this service is highlighted on the following page.

	Total Revenues to Rentsway
Year 1	$676
Year 2	$5,397
Year 3	$21,161
Year 4	$53,317
Year 5	$111,942

Landlord Revenues (Tenant Screening Services)

The Company also assumes that 30% of landlords utilizing Rentsway will opt for its tenant screening service for 30% of their tenants. The total number of landlords utilizing this service is highlighted in the chart below.

	% of Cumulative Landlords	Total Landlords	Total Tenants Being Screened
Year 1	30%	22	200
Year 2	30%	132	1,220
Year 3	30%	404	3,735
Year 4	30%	949	8,780
Year 5	30%	1,834	16,965

Based on a monthly fee of $30 per tenant screened, total revenues generated by this service is highlighted on the following page. The Company also assumes that 50% of these revenues will be paid to a third-party provider to oversee the actual screening process.

	Total Revenues to Rentsway	Total Costs
Year 1	$28,150	$14,075
Year 2	$224,645	$112,323
Year 3	$880,839	$440,420
Year 4	$2,219,335	$1,109,667
Year 5	$4,659,594	$2,329,797

Financial Summary

Revenues are projected to rise from $53,317 in Year 1 to over $8,825,384 by Year 5. Net incomes are projected to rise from $21,297 in Year 1 to over $3,391,470 by Year 5.

Summary of Financial Projections	Year 1	Year 2	Year 3	Year 4	Year 5
Revenue	**$53,317**	**$425,484**	**$1,668,331**	**$4,203,473**	**$8,825,384**
Total Cost of Goods Sold	**$17,330**	**$138,299**	**$542,273**	**$1,366,294**	**$2,868,596**
Gross Profit	**$35,987**	**$287,185**	**$1,126,058**	**$2,837,179**	**$5,956,788**
Gross Margin (%)	***67%***	***67%***	***67%***	***67%***	***67%***
General & Administrative Costs	$8,933	$13,075	$137,835	$209,348	$288,664
Salary & Wage Costs	$0	$34,385	$751,939	$1,111,199	$1,375,124
Total Operational Costs	**$8,933**	**$47,460**	**$889,774**	**$1,320,547**	**$1,663,788**
EBITDA	**$27,054**	**$239,725**	**$236,284**	**$1,516,632**	**$4,292,999**
Depreciation Cost	$0	$0	$0	$0	$0
Amortization Cost	$0	$0	$0	$0	$0
Interest Cost	$0	$0	$0	$0	$0
Pre-Tax Profit	**$27,054**	**$239,725**	**$236,284**	**$1,516,632**	**$4,292,999**
Retained Earnings	$27,054	$266,779	$503,062	$2,019,694	$6,312,694
Taxable Income	$27,410	$239,725	$236,284	$1,516,632	$4,292,999
Income Tax Cost	**$5,756**	**$50,342**	**$49,620**	**$318,493**	**$901,530**
Net Income	**$21,297**	**$189,383**	**$186,664**	**$1,198,139**	**$3,391,470**
Net Income Margin (%)	***40%***	***45%***	***11%***	***29%***	***38%***

Operating Expenses

Operating expenses are projected to rise from $8,933 in Year 1 to over $288,664 by Year 5.

Operating Expenses	Year 1	Year 2	Year 3	Year 4	Year 5
Marketing/Advertising/Promotions	$0	$0	$12,000	$24,000	$48,000
Office Supplies	$0	$0	$3,600	$4,320	$5,184
Bank Charges & Merchant Fees	$533	$4,255	$16,683	$42,035	$88,254
Insurance Expenses	$1,200	$1,260	$3,780	$3,969	$4,167
Meals & Entertainment	$1,200	$1,260	$1,323	$1,389	$1,459
Travel	$1,200	$1,260	$5,040	$5,292	$5,557
Professional Fees (Legal, Accounting, Consulting)	$1,200	$1,260	$5,040	$5,292	$5,557
Website Hosting and Server Expenses	$1,200	$1,260	$1,323	$1,389	$1,459
Telephone and Internet	$600	$630	$662	$695	$729
Utilities	$600	$630	$662	$695	$729
Cleaning and Maintenance	$0	$0	$1,200	$1,224	$1,248
Dues and Subscriptions	$0	$0	$1,200	$1,260	$1,323
Office Rent	$0	$0	$60,000	$90,000	$94,500
Cyber Security	$1,200	$1,260	$1,323	$1,389	$1,459
BPO Services (Call Center)	$0	$0	$24,000	$26,400	$29,040
TOTAL	**$8,933**	**$13,075**	**$137,835**	**$209,348**	**$288,664**

Headcount

Headcount expenses are expected to rise from $0 in Year 1 (as Brian will handle all responsibilities related to running Rentsway and growing the business) to over $1,375,124 by Year 5 as the business grows and scales.

Headcount Assumptions	Year 1	Year 2	Year 3	Year 4	Year 5
Management Team					
Brian Boisjoli - CTO	1	1	1	1	1
COO	0	0	1	1	1
CMO	0	0	1	1	1
CFO	0	0	0	1	1
Total Management Team Compensation	**$0**	**$0**	**$190,000**	**$260,000**	**$260,000**
Support					
Business Development Team	0	1	3	15	20
Marketing Team	0	0	2	1	1
Software Engineer	0	0	2	1	2
Accountant	0	0	1	1	1
Admin	0	0	1	1	1
UI/UX Team	0	0	1	1	1
Total Support Team Compensation	**$0**	**$29,900**	**$463,860**	**$706,260**	**$935,760**
Total Headcount	**1**	**2**	**13**	**24**	**30**
Total Headcount Compensation	**$0**	**$29,900**	**$653,860**	**$966,260**	**$1,195,760**
Payroll Taxes and Other Benefits	**$0**	**$4,485**	**$98,079**	**$144,939**	**$179,364**
Total Headcount Cost	$0	$34,385	$751,939	$1,111,199	$1,375,124

Appendix

Income Statement

Income Statement	Year 1	Year 2	Year 3	Year 4	Year 5
Revenue					
Total Revenue	$53,317	$425,484	$1,668,331	$4,203,473	$8,825,384
Total Revenue	**$53,317**	**$425,484**	**$1,668,331**	**$4,203,473**	**$8,825,384**
Total Cost	$17,330	$138,299	$542,273	$1,366,294	$2,868,596
Total Cost of Goods Sold	**$17,330**	**$138,299**	**$542,273**	**$1,366,294**	**$2,868,596**
Gross Profit	**$35,987**	**$287,185**	**$1,126,058**	**$2,837,179**	**$5,956,788**
Gross Margin (%)	***67%***	***67%***	***67%***	***67%***	***67%***
Operational Expenses					
General & Administrative Costs	$8,933	$13,075	$137,835	$209,348	$288,664
Salary & Wage Costs	$0	$34,385	$751,939	$1,111,199	$1,375,124
Total Operational Costs	**$8,933**	**$47,460**	**$889,774**	**$1,320,547**	**$1,663,788**
EBITDA	**$27,054**	**$239,725**	**$236,284**	**$1,516,632**	**$4,292,999**
Depreciation Cost	$0	$0	$0	$0	$0
Amortization Cost	$0	$0	$0	$0	$0
Interest Cost	$0	$0	$0	$0	$0
Other Income	$0	$0	$0	$0	$0
Pre-Tax Profit	**$27,054**	**$239,725**	**$236,284**	**$1,516,632**	**$4,292,999**
Retained Earnings	$27,054	$266,779	$503,062	$2,019,694	$6,312,694
Taxable Income	$27,410	$239,725	$236,284	$1,516,632	$4,292,999
Income Tax Cost	**$5,756**	**$50,342**	**$49,620**	**$318,493**	**$901,530**
Net Income	**$21,297**	**$189,383**	**$186,664**	**$1,198,139**	**$3,391,470**
Net Income Margin (%)	***40%***	***45%***	***11%***	***29%***	***38%***

Balance Sheet

Balance Sheet	Year 1	Year 2	Year 3	Year 4	Year 5
ASSETS					
Current Assets					
Cash	$23,330	$184,649	$320,679	$1,459,981	$4,666,494
Accounts Receivable	$3,410	$20,788	$63,660	$105,087	$220,635
Inventory	$0	$0	$0	$0	$0
Prepaid Expenses	$3,410	$20,788	$63,660	$105,087	$220,635
Total Current Assets	**$30,150**	**$226,225**	**$448,000**	**$1,670,155**	**$5,107,763**
Fixed Assets					
Total Fixed Assets	**$0**	**$0**	**$0**	**$0**	**$0**
(Less Accumulated Depreciation)	$0	$0	$0	$0	$0
Intangible Assets Investments	$0	$0	$0	$0	$0
Initial Marketing Budget	$10,000	$10,000	$10,000	$10,000	$10,000
Permits and Licenses	$2,500	$2,500	$2,500	$2,500	$2,500
Total Intangibles	**$92,500**	**$92,500**	**$92,500**	**$92,500**	**$92,500**
(Less Accumulated Amortization	**$0**	**$0**	**$0**	**$0**	**$0**
Total Assets	**$122,650**	**$318,725**	**$540,500**	**$1,762,655**	**$5,200,263**
LIABILITIES & EQUITY					
Current Liabilities					
Accounts Payable	$1,108	$6,757	$20,692	$34,157	$71,715
Accured Expenses	$244	$1,288	$22,464	$33,014	$41,595
Existing Liabilities	$0	$0	$0	$0	$0
Current Portion of Debt	$0	$0	$0	$0	$0
Total Current Liabilities	$1,352	$8,045	$43,156	$67,171	$113,310
Long Term Liabilities					
Long Term Debt	$0	$0	$0	$0	$0
Total Long Term Liabilities	**$0**	**$0**	**$0**	**$0**	**$0**
Total Liabilities	**$1,352**	**$8,045**	**$43,156**	**$67,171**	**$113,310**
Equity					
Common Stock	$100,000	$100,000	$100,000	$100,000	$100,000
Retained Earnings	$21,297	$210,680	$397,344	$1,595,484	$4,986,953
Total Equity	**$121,297**	**$310,680**	**$497,344**	**$1,695,484**	**$5,086,953**
Total Liabilities and Equity	**$122,650**	**$318,725**	**$540,500**	**$1,762,655**	**$5,200,263**

Cash Flow

Cash Flow Statement	Year 1	Year 2	Year 3	Year 4	Year 5
OPERATIONS					
Cash Flow From Operations					
Net Income	$21,297	$189,383	$186,664	$1,198,139	$3,391,470
Plus Depreciation	$0	$0	$0	$0	$0
Plus Amortization	$0	$0	$0	$0	$0
Changes in Working Capital					
Changes in A/R	-$3,410	-$17,378	-$42,873	-$41,426	-$115,548
Changes in Inventory	$0	$0	$0	$0	$0
Changes in Prepaid Costs	-$3,410	-$17,378	-$42,873	-$41,426	-$115,548
Changes in A/P	$1,108	$5,649	$13,935	$13,465	$37,558
Changes in Accrued Expenses	$244	$1,044	$21,176	$10,550	$8,581
Total Cash Flow From Operations	**$15,830**	**$161,319**	**$136,030**	**$1,139,302**	**$3,206,513**
INVESTMENTS					
Fixed Asset Investments					
Total Fixed Assets	**$0**	**$0**	**$0**	**$0**	**$0**
Intangible Assets Investments					
Initial Marketing Budget	-$10,000	$0	$0	$0	$0
Permits and Licenses	-$2,500	$0	$0	$0	$0
Total Intangible Investments	**-$92,500**	**$0**	**$0**	**$0**	**$0**
Total Cash Flow From Investments	**-$92,500**	**$0**	**$0**	**$0**	**$0**
CASH FLOW FROM FINANCING					
Financing					
Paid In Capital	$100,000	$0	$0	$0	$0
Debt	$0	$0	$0	$0	$0
Total Cash Flow From Financing	**$100,000**	**$0**	**$0**	**$0**	**$0**
TOTAL CASH FLOW	**$23,330**	**$161,319**	**$136,030**	**$1,139,302**	**$3,206,513**
Cash at the Beginning of Period	**$0**	**$23,330**	**$184,649**	**$320,679**	**$1,459,981**
Cash at the End of Period	**$23,330**	**$184,649**	**$320,679**	**$1,459,981**	**$4,666,494**